

Alpha Data Solutions Limited

Annual report and financial statements

Registered number 11480862

31 March 2020

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Company Information

Directors	JC Paton ENB Fraser GD Glass (appointed 1 April 2019) L Radenovic (appointed 9 November 2019) N Spencer (appointed 1 April 2019)
Company number	11480862
Registered office	60 Gresham Street London EC2V 7BB
Auditor	KPMG LLP St Nicholas House 31 Park Row Nottingham NG1 6FQ
Banker	HSBC Bank UK 71 Queen Victoria Street London EC4V 4AY

Strategic report

Business review

For the year ended 31 March 2020, the Company recorded a loss of £1,169,000 in its first year of trading, due to one-off integration costs relating to aligning the product suite of the Company with that of Alpha Financial Markets Consulting Plc Group's (the "Group") acquisition in the year, Obsidian Solutions Ltd ('Obsidian'). This was supplemented by amortisation of capitalised costs incurred in the year relating to the development of the Company's 360 SalesVista software. There are no concerns about the recoverability of the main unprovided debtors.

Future developments

The business plan developed by the Directors in light of the ongoing outbreak of COVID-19 in the UK assumes market softness in the early months of FY 21¹ with an expected period of recovery subsequently and a return to more normal trading conditions in FY 22. The Company has retained a relatively good pipeline of core work through the early months of FY 21 despite measures put in place relating to the pandemic.

Key performance indicators

The Directors monitor performance on both a weekly and a monthly basis using a range of financial and non-financial metrics. Working capital management is the primary indicator which is reviewed on a weekly basis to monitor cashflow, liquidity and the recovery of trade receivables.

Each month the Directors review the management accounts for each Group undertaking and compare actual performance against budget. Costs, utilisation and order book are also reviewed to monitor profitability.

Principal risks and uncertainties

The performance of the Company in the short-term is subject to uncertainty arising from the macro-economic impact of the COVID-19 outbreak, however the future pipeline of work for the Company is considered relatively good despite the uncertainty. Management continue to operate conservative cash management policies, which have been supplemented by strategic decisions made to safeguard liquidity during the pandemic, as described below. The Directors are satisfied with performance for the year.

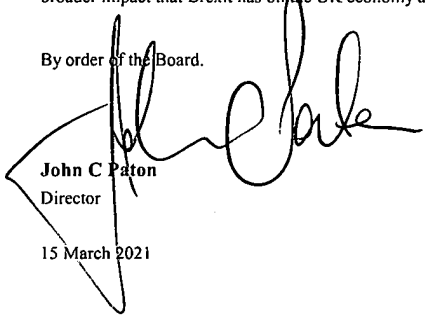
Risk Management and the impact of COVID-19

The Directors note that the World Health Organisation declared a pandemic relating to COVID-19 on 11 March 2020, and social distancing measures were introduced in the UK during March 2020. The Directors have therefore considered the impact of the pandemic on the Company's operations, with a focus primarily on the Company's going concern assessment, forward looking forecasts and recoverability of assets, including trade receivables and intercompany funding to other Group entities.

The Directors have taken mitigating actions designed to manage the risk and reflect the uncertainty associated with the pandemic and protect the balance sheet and maintain liquidity. Actions taken include the delay of profit share payments to employees, and delays to all but essential recruitment processes in the short-term.

The Directors and the executive team continue to monitor the geopolitical developments surrounding the UK's decision to leave the European Union ("Brexit") closely. The Company has assessed that Brexit has not had a material direct impact on its ongoing growth and development of the business, given arrangements between the UK and EU countries, and its network of offices across Europe. The impact of Brexit on the business has been a short-term delay to client decision making, which is not expected to have any adverse effects over the medium term. The impact of Brexit has been overshadowed in recent months by the emergence of a major severe macro-economic crisis associated with COVID-19 as above. The Company is conscious that this position may change, and unexpected new challenges could arise that affect this risk assessment, including the broader impact that Brexit has on the UK economy as a whole.

By order of the Board.


John C Paton
Director

15 March 2021

¹ FY 20 is the financial year covering the 12 months to 31 March 2020. By comparison, FY 19 is the previous financial year covering the 12 months to 31 March 2019; FY 21 is the subsequent financial year covering the 12 months to 31 March 2021; and FY 22 is the subsequent financial year covering the 12 months to 31 March 2022.

Directors' report

The Directors present their report and the audited financial statements for the year ended 31 March 2020.

Principal activities

The principal activity of the Company is the provision of consulting related services and software products to clients in the asset and wealth management industries. The Company commenced trading in the current year and was dormant for the year ended 31 March 2019.

Results and dividend

The results for the year are set out in the attached profit and loss account.

No dividend payments were proposed or paid in the current financial year.

For further information on the likely future developments of the business, please refer to the Strategic report.

After deducting taxation, a £1,169,000 loss was transferred to reserves (2019: £nil).

Directors

The Directors who held office during the year were as follows:

JC Paton

E Fraser

GD Glass (appointed 1 April 2019)

L Radenovic (appointed 9 November 2019)

N Spencer (appointed 1 April 2019)

Political contributions

The Company made no political donations or incurred any political expenditure during the year.

Employee involvement

The health and welfare of the Company's employees remains a key priority for the Directors, as reflected by the affiliated Company's position on the 'Sunday Times 100 Best small companies to work for' 2017-2020. The Company has the intent to attract, recruit, develop and retain key employees, and the Company maintains policies and procedures on the Group intranet, with access to this documentation provided to employees via the Company's Human Resources department. Appropriate education, training and development opportunities are provided to all employees to encourage continuous development, and employees are kept abreast of key financial and economic updates on the Company's performance and other matters on a regular basis, and in monthly meetings hosted by senior management, where employees have an opportunity to raise questions or provide feedback.

It is the Company's policy to give full and fair consideration to all applications for employment including from disabled people, having regard to their abilities and aptitudes. Full consideration is given to continuing the employment of staff who become disabled, including considering them for other reasonable positions and arranging appropriate training where required. The Company aims to provide an inclusive environment for all employees, regardless of sex, marital status, race, nationality, age, sexual orientation or religion.

The Company provides an opportunity for increased employee engagement with the Company's performance through the employee share incentive scheme for new joiners and the Company's profit share scheme.

Engagement with suppliers and customers

The Directors note the importance of fostering strong relationships with the Company's customers and suppliers through open communication and having regard for these relationships in strategic decisions made relating to the Company.

Directors' report (continued)

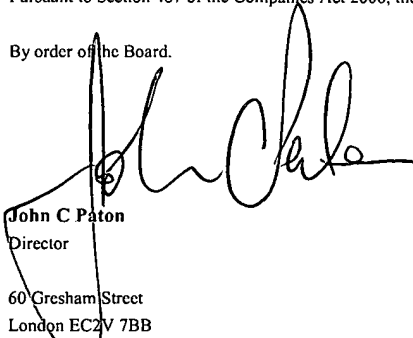
Disclosure of information to auditor

The Directors who held office at the date of approval of this Directors' report confirm that, so far as they are each aware, there is no relevant audit information of which the Company's auditor is unaware; and each Director has taken all the steps that they ought to have taken as a Director to make themselves aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

Auditor

Pursuant to Section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and KPMG LLP will therefore continue in office.

By order of the Board.



John C Paton
Director

60 Gresham Street
London EC2V 7BB

15 March 2021

Statement of Directors' responsibilities in respect of the Strategic report and the Directors' report and the financial statements

The Directors are responsible for preparing the Strategic Report, the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the Directors to prepare financial statements for each financial year. Under that law they have elected to prepare the financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 101 Reduced Disclosure Framework.

Under company law the Directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations or have no realistic alternative but to do so.

The Directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the company and to prevent and detect fraud and other irregularities.

Independent auditor's report to the members of Alpha Data Solutions Limited

Opinion

We have audited the financial statements of Alpha Data Solutions Limited ("the company") for the year ended 31 March 2020 which comprise the balance sheet, profit and loss account and statement of changes in equity and related notes, including the accounting policies in note 1.

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 31 March 2020 and of its loss for the year then ended;
- have been properly prepared in accordance with UK accounting standards, including FRS 101 Reduced Disclosure Framework; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the company in accordance with, UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

Going concern

The Directors have prepared the financial statements on the going concern basis as they do not intend to liquidate the company or to cease its operations, and as they have concluded that the company's financial position means that this is realistic. They have also concluded that there are no material uncertainties that could have cast significant doubt over its ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period").

We are required to report to you if we have concluded that the use of the going concern basis of accounting is inappropriate or there is an undisclosed material uncertainty that may cast significant doubt over the use of that basis for a period of at least a year from the date of approval of the financial statements. In our evaluation of the Directors' conclusions, we considered the inherent risks to the company's business model and analysed how those risks might affect the company's financial resources or ability to continue operations over the going concern period. We have nothing to report in these respects.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the absence of reference to a material uncertainty in this auditor's report is not a guarantee that the company will continue in operation.

Strategic report and Directors' report

The Directors are responsible for the Strategic report and the Directors' report. Our opinion on the financial statements does not cover those reports and we do not express an audit opinion thereon.

Our responsibility is to read the Strategic report and the Directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work:

- we have not identified material misstatements in the strategic report and the Directors' report;
- in our opinion the information given in those reports for the financial year is consistent with the financial statements; and
- in our opinion those reports have been prepared in accordance with the Companies Act 2006.

Matters on which we are required to report by exception

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of Directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

We have nothing to report in these respects.

Directors' responsibilities

As explained more fully in their statement set out on page 5, the Directors are responsible for: the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Independent auditor's report to the members of Alpha Data Solutions Limited (continued)

Auditor's responsibilities

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the FRC's website at www.frc.org.uk/auditorsresponsibilities.

The purpose of our audit work and to whom we owe our responsibilities

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members, as a body, for our audit work, for this report, or for the opinions we have formed.



Craig Parkin (Senior Statutory Auditor)
for and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants
St Nicholas House
31 Park Row
Nottingham
NG1 6FQ

16 March 2021

Profit & loss account
for the year ended 31 March 2020

	Note	FY 20. £000	FY 19 £000
Turnover	2	1,442	-
Rechargeable expenses		-	-
Net fee income		1,442	-
Cost of sales		(1,309)	-
Gross profit		133	-
Administrative expenses	4, 5	(1,298)	-
Operating loss		(1,165)	-
Other interest payable and similar expense	6	(4)	-
Loss before taxation		(1,169)	-
Taxation		-	-
Loss for the financial year		(1,169)	-

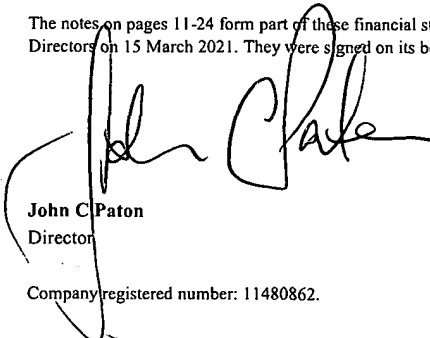
In both the current and preceding year, the Company made no material acquisitions and had no discontinued operations.

There were no recognised gains or losses in either the current or preceding year other than those disclosed in the profit and loss account, and therefore no separate statement of other comprehensive income has been presented.

Balance sheet
As at 31 March 2020

	Note	As at 31 March 2020 £000	As at 31 March 2019 £000
Non-current assets			
Tangible fixed assets	8	31	-
Intangible fixed assets	9	1,108	-
Right-of-use assets	10	94	-
		<u>1,233</u>	<u>-</u>
Current assets			
Debtors	11	1,276	-
Cash at bank and in hand		800	-
		<u>2,076</u>	<u>-</u>
Current liabilities			
Creditors: amounts falling due within one year	12	(4,374)	-
Lease liabilities	10	(95)	-
		<u>(4,469)</u>	<u>-</u>
Net current liabilities		<u>(2,393)</u>	<u>-</u>
Total assets less current liabilities		<u>(1,160)</u>	<u>-</u>
Non-current liabilities			
Non-current liabilities		(9)	-
Net liabilities		<u>(1,169)</u>	<u>-</u>
Capital and reserves			
Called up share capital	14	-	-
Profit and loss account		(1,169)	-
Shareholders' funds		<u>(1,169)</u>	<u>-</u>

The notes on pages 11-24 form part of these financial statements. These financial statements were approved and authorised for issue by the Board of Directors on 15 March 2021. They were signed on its behalf by:


John C Paton
Director

Company registered number: 11480862.

Statement of changes in equity

	Called up share capital £000	Profit and loss account £000	Total Shareholders' funds £000
As at 1 April 2018	-	-	-
Total comprehensive income for the period			
Profit for the period	-	-	-
Transactions with owners			
Dividends	-	-	-
Share-based payment charge	-	-	-
As at 31 March 2019	-	-	-
Opening Adjustment	-	-	-
As at 1 April 2019	-	-	-
Total comprehensive expense for the period			
Loss for the period	-	(1,169)	(1,169)
Transactions with owners			
Dividends	-	-	-
Share-based payment charge	-	-	-
Balance at 31 March 2020	-	(1,169)	(1,169)

Notes (forming part of the financial statements)

1 Accounting policies

Alpha Data Solutions Limited (the "Company") is a Company limited by shares, domiciled and registered in the UK. The registered number is 11480862 and the registered address is 60 Gresham Street, London, EC2V 7BB.

These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework ("FRS 101").

In preparing these financial statements, the Company applies the recognition, measurement and disclosure requirements of International Financial Reporting Standards as adopted by the EU ("Adopted IFRSs"), but makes amendments where necessary in order to comply with Companies Act 2006 and has set out below where advantage of the FRS 101 disclosure exemptions has been taken.

The Company's parent undertaking, Alpha Financial Markets Consulting Plc, includes the Company in its consolidated financial statements. The consolidated financial statements of Alpha Financial Markets Consulting Plc are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB.

In these financial statements, the Company has applied the exemptions available under FRS 101 in respect of the following disclosures:

- A cash flow statement and related notes;
- Comparative period reconciliations for share capital, tangible fixed assets, intangible assets and investment properties;
- Disclosures in respect of transactions with wholly owned subsidiaries;
- Disclosures in respect of capital management;
- The effects of new but not yet effective IFRSs;
- Disclosures in respect of the compensation of Key Management Personnel; and
- Disclosures of transactions with a management entity that provides key management personnel services to the Company.

As the consolidated financial statements of Alpha Financial Markets Consulting Plc include the equivalent disclosures, the Company has also taken the exemptions under FRS 101 available in respect of the following disclosures:

- IFRS 2 Share Based Payments in respect of group settled share based payments; and
- Certain disclosures required by IFRS 16 Leases in relation to disclosure of the company's leasing activities.
- Certain disclosures required by IFRS 3 Business Combinations in respect of business combinations undertaken by the Company.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements.

1.1 First year of trading

The period of 1 April 2019 to 31 March 2020 presented within these financial statements represents the first period of trading for the Company. The comparative period reported within these financial statements was a dormant period for the Company.

1.2 Measurement convention

The financial statements are prepared on the historical cost basis.

1.3 Significant judgements and estimates

The preparation of financial information in accordance with IFRS requires management to make judgements, estimates and assumptions that affect the application of accounting policies and reported amounts of assets and liabilities, income and expenses.

The Directors have made one judgement, excluding those involving estimations, in the process of applying the Company's accounting policies that are considered to have a significant effect on the amounts recognised in the financial statements for the period ending 31 March 2020.

Revenue recognition

The Directors note that the process of revenue recognition in the Company requires a judgement to be made on the identification of distinct performance obligations under the Company's software contracts with customers. These contracts comprise software fees and other related services, which customers can access over the life of the contract, in line with related performance obligations. Interpretation of the terms of these contracts determine whether the performance obligation is satisfied over time or at a point in time. For further information on the accounting policy implemented by the Company, please refer to section 1.12 below.

The Directors have identified the following area as the key estimate that is considered to have a significant risk of resulting in a material adjustment to the carrying amounts of assets or liabilities within the next financial year.

Coronavirus (COVID-19)

For the purposes of considering Going Concern, management have applied a number of key assumptions that relate to the ongoing outbreak of COVID-19 and the associated market uncertainty in Alpha's operational territories. The key assumptions applied for these purposes relate to the potential length of the ongoing lockdown periods and subsequent environment as determined by government bodies globally, and the associated assumptions as to the potential impact of these factors on the Group's going concern considerations.

Management consider that the impact of uncertainty related to COVID-19 will be most apparent in the following area of the financial statements.

- Going concern: refer to the 'Going Concern' section below for further detail on the impact of COVID-19.

Notes (continued)

1 Accounting policies (continued)

1.3 Significant judgements and estimates (continued)

Impairment of capitalised development expenditure

The Company determines whether capitalised development costs should be impaired on at least an annual basis. This requires an estimate of the value in use of the CGU to which the costs have been allocated. To estimate the value in use, the Company estimates the expected future cash flows from the CGU and discounts to their present value. Forecasting expected cash flows and selecting appropriate discount rates inherently requires estimation. Based on the forecasted cash flows and sensitivity analysis performed there is no reasonably possible outcome where an impairment charge is required at year end. However it is considered appropriate to disclose this as an area of significant estimation due to the size of the balance, the heightened uncertainty due to the current COVID-19 environment, and the fact that it could change as a result of future events over the next several years.

1.4 Going concern

Notwithstanding net current liabilities of £2,393,000 as at 31 March 2020 and a loss for the year then ended of £1,169,000 the financial statements have been prepared on a going concern basis which the Directors consider to be appropriate for the following reasons.

The Directors have prepared cash flow forecasts for a period of 12 months from the date of approval of these financial statements which indicate that, taking account of reasonably possible downsides, the Company will have sufficient funds, to meet its liabilities as they fall due for that period.

Those forecasts are dependent on the Company's ultimate parent company, Alpha Financial Markets Consulting Plc not seeking repayment of the amounts currently due to the other companies controlled by the Group, which at 31 March 2020 amounted to £2,556,000. Alpha Financial Markets Consulting Plc has indicated that it does not intend to seek repayment of these amounts for the period covered by the forecasts. As with any company placing reliance on other Group entities for financial support, the Directors acknowledge that there can be no certainty that this support will continue although, at the date of approval of these financial statements, they have no reason to believe that it will not do so.

Consequently, the Directors are confident that the Company will have sufficient funds to continue to meet its liabilities as they fall due for at least 12 months from the date of approval of the financial statements and therefore have prepared the financial statements on a going concern basis.

Impact of COVID-19

The Directors note that the World Health Organisation declared a pandemic relating to COVID-19 on 11 March 2020, and social distancing measures were introduced in the UK during March 2020. Therefore, the Directors have considered the significance of the economic ramifications of the virus before the end of the Company's financial year and its potential effect on the financial statements for the year ended 31 March 2020. In particular, the Directors have assessed the impact of incorporating additional COVID-19 risk factors in applying downside sensitivities in the going concern assessment over a period of 12 months after the signing of these financial statements. The Directors have also considered the impact of the pandemic on the expected credit loss calculation on the Company's receivables.

Key assumptions considered by management when assessing going concern include adjusting managements best estimate of forecasted performance for factors including the length and extent of current lockdown restrictions, the resulting general business environment, the speed of recovery of trading after lockdown restrictions ease and utilisation of relevant government support schemes. These have been estimated for their respective impacts on the Company's revenues, fixed and variable costs and resultant expected cash flow requirements.

The Directors note that the Company made a loss in its first year of trading and held a net liability positions at 31 March 2020, due to one-off integration costs relating to aligning the product suite of the Group's acquisition in the year of Obsidian Solutions Ltd ("Obsidian") and amortisation of capitalised development costs relating to the development of the Company's 360SalesVista software. The Directors have considered that the Company's forecasts and projections, taking into account reasonable estimate of a possible downturn in trading performance arising from the COVID-19 outbreak, show that the Company's expected performance over the Going Concern period is expected to be sufficient without any additional support. However, the Company also has access to additional funding via the wider Group's robust balance sheet, strong cash position and revolving credit facility. Accordingly, the Directors have adopted the going concern basis in preparing these financial statements.

1.5 Foreign currency

The company's functional and presentational currency is GBP.

Transactions in foreign currencies are translated to the Company's functional currencies at the foreign exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are retranslated to the functional currency at the foreign exchange rate ruling at that date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction. Non-monetary assets and liabilities denominated in foreign currencies that are stated at fair value are retranslated to the functional currency at foreign exchange rates ruling at the dates the fair value was determined. Foreign exchange differences arising on translation are recognised in the profit and loss.

1.6 Financial instruments

The Company uses financial instruments comprising cash and cash equivalents and other short-term instruments, such as trade payables that arise from its operations. The main purpose of these financial instruments is to fund the Group's business strategy and working capital requirements.

Accounting policies in respect of financial instruments are outlined below.

Notes (continued)

1 Accounting policies (continued)

1.6 Financial instruments (continued)

Financial assets

Financial assets are initially measured at fair value plus or minus, in the case of a financial asset not at fair value through profit or loss, transaction costs. The Company has not reclassified any financial assets subsequent to initial recognition as at the balance sheet date. Reclassification of classes of financial assets is accounted for prospectively in accordance with IFRS 9, where this is required. Any difference on reclassification from amortised cost to fair value through profit or loss is recognised in the profit and loss at the reclassification date.

Financial assets are assessed at each reporting date to determine a lifetime expected credit loss that reflects the credit risk associated with the portfolio of assets. A financial asset is impaired in line with the simplified approach under IFRS 9 which uses a lifetime expected loss allowance.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. For financial instruments measured at cost less impairment, impairment is calculated as the difference between its carrying amount and the best estimate of the amount that the Company would receive for the asset if it were to be sold at the reporting date. Interest on the impairment asset continues to be recognised through the unwinding of the discount. Impairment losses are recognised in profit or loss. When a subsequent event causes the amount of the impairment to decrease, the decrease in impairment loss is reversed through statement of comprehensive income.

Trade and other debtors

Trade and other receivables are recognised initially at fair value and subsequently measured at amortised cost, less provision for impairment. A provision for impairment of trade receivables is established when there is objective evidence that the Company will not be able to collect all amounts due according to the original terms of the receivables. The provision is recognised in the income statement as an operating charge.

The trade receivables' balances recorded in the Company's statement of financial position comprise a relatively small number of large balances and are held until realised in cash.

Alpha provides services to customers on credit terms with mainly arrears billing. Certain receivables may not be paid. The Company applies the IFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all trade receivables. To measure expected credit losses, trade receivables have been grouped based on shared credit characteristics and the days past due. The Company considers historical loss rates for each ageing category as a starting point for estimating the expected credit loss. This historical loss rate is subsequently adjusted for macro-economic and customer specific factors of receivables within each ageing category. Characteristics considered by the Company for these purposes include historical collection experience for each customer, the assessed liquidity of key customers within the receivables balance, and other relevant macro-economic factors such as COVID-19 and Brexit in order to determine a reasonable and supportable assessment of the expected lifetime credit risk in the context of the overall year-end trade receivables due.

Amounts owed by Group undertakings

Amounts owed by Group undertakings are recognised initially at fair value and subsequently measured at amortised cost, less provision for impairment. A provision for impairment of intercompany receivables is established using an expected credit loss model. The Group classifies all intercompany receivables that form a part of the normal trading cycle of the Group as current, as well as non-trading balances where the counterparty has sufficient resources to settle the balance within a twelve month period from the balance sheet date. All other amounts owed by Group undertakings are considered as non-current assets. This represents a change in accounting policy in the year. All balances were considered current in the comparative period.

Cash and cash equivalents

Cash and cash equivalents comprise cash balances and call deposits and are recorded and subsequently measured at amortised cost in line with IFRS 9.

Financial liabilities

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Financial liabilities are classified as held for trading if they are acquired for the purpose of selling in the near term. This category includes derivative financial instruments entered into by the Company that are not designated as hedging instruments in hedge relationships as defined by IFRS 9. As at 31 March 2020, the Company had no such financial liabilities.

Other financial liabilities held by the Group are recognised at amortised cost.

Trade and other creditors

Trade and other creditors are recognised initially at fair value. Subsequent to initial recognition they are measured at amortised cost using the effective interest method.

Amounts owed to Group undertakings

Amounts owed by Group undertakings are recognised initially at fair value and subsequently measured at amortised cost.

Leases

Lease liabilities are recognised on the balance sheet at the present value of minimum lease payments. For further information refer to the 'New Accounting Standards and interpretations' section below on the accounting treatment for leases under IFRS 16 and note 9.

Comparative period numbers relating to leases were not restated and continue to be presented under IAS 17. FY 19 rentals paid under operating leases are charged to the consolidated statement of comprehensive income on a straight-line basis over the period of the lease. Benefits received and receivable as an incentive to sign an operating lease are recognised on a straight-line basis over the period of the lease.

Notes (continued)

1 Accounting policies (continued)

1.10 Employee benefits

Defined contribution plans

A defined contribution plan is a post-employment benefit plan under which the Company pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution pension plans are recognised as an expense in the profit and loss account in the periods during which services are rendered by employees.

Share-based payments

The Company's management and employees have access to an equity settled share-based payment arrangement for new employees which forms a part of the wider schemes offered across the Group, which are settled in Alpha Financial Markets Consulting Plc shares. The Company offers two distinct schemes, the 'Management Incentive Plan' (MIP) and the 'Employee Incentive Plan' (EIP). These are described below.

The Management Incentive Plan ("MIP")

The Company has a MIP to retain and incentivise the Directors and senior management.

Options granted in the current and prior years to the Directors and senior management of the Company are subject to the fulfilment of two or more performance conditions determined by the Group's remuneration committee.

MIP awards have either nil exercise price payable (or no more than a nominal purchase price payable) in order to acquire shares pursuant to options. MIP awards have either 3- or 4-year vesting periods from the date of grant and can be equity-settled only.

The Employee Incentive Plan ("EIP")

Under the EIP, a broad base of the Group's employees have been granted share options or share awards over a small number of Alpha Financial Markets Consulting Plc shares. The EIP has been structured as is most appropriate under the local tax, legal and regulatory rules.

Further disclosure of these schemes is provided within the consolidated Alpha Financial Markets Consulting Plc 2020 Annual Report & Accounts, and the share-based payment arrangement concerns equity instruments of the Company's ultimate parent company, Alpha Financial Markets Consulting Plc, and therefore the Directors have applied disclosure exemptions for the subsidiary accounts as permitted under FRS 101.

1.11 Provisions

A provision is recognised in the balance sheet when the Company has a present legal or constructive obligation as a result of a past event, that can be reliably measured and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects risks specific to the liability.

1.12 Revenue recognition

Revenue consists of the value of work executed for clients during the year and expenses recharged, exclusive of VAT. Revenue is classified into net fee income and recharged expenses. Net fee income is measured based on the transaction price allocated to the performance obligation from the sale of goods or provision of services. Net fee income is recognised either at a 'point in time' when the performance obligation in the contract has been performed or 'over time' as control of the goods or services are transferred to the customer. Recharged expenses comprise the recharge of costs incidental to fulfilling contracts including flights, subsistence and accommodation on which nil or negligible margin is earned by the Company. The Company delivers services that have no alternative use to Alpha (advice to clients, reports, etc) as the services are specifically tailored to clients' projects and scope of work.

Revenue generated from software licensing, hosting and related support services provided over a contracted period of time is combined and allocated to a single performance obligation. These contracts are considered to be satisfied over time, in line with the benefits being transferred to the customer. Revenue is recognised on straight-line basis over the contractual licence term.

Implementation services provided by the Company to the customer are classified as either being distinct performance obligations or non-distinct from the licensing and hosting promises described above, dependent on the fact pattern within the underlying contractual arrangement. The Company considers the level of inter-dependency between the contractual promises, and whether the customer can consume the benefits of the licence without the implementation service being performed. Where implementation services are required for the customer to use the software, these services are considered to be non-distinct from the licensing performance obligation. Therefore, the Company accounts for these as a single performance obligation satisfied over the licence term, as described above. The Company generally considers the initial phase of implementation to be non-distinct from the associated licence. The Company typically bills and receives cash for these implementation services in advance of the revenue being recognised, resulting in the recognition of a contract liability.

Costs directly related to non-distinct implementation work that are incurred prior to the commencement of the licence are initially recognised as an asset within trade and other receivables, and are subsequently amortised through cost of sales on a systematic basis, in line with the transfer of goods or services to the customer.

Other distinct implementation services, as well as separately billable maintenance, support, data assurance and training are treated as separate performance obligations and revenue is recognised as these services are delivered.

Contract modifications relating to the renewal of software licences are accounted for as separate revenue contracts. Other contract modifications are considered on a case by case basis.

Notes (continued)

1 Accounting policies (continued)

1.12 Revenue recognition (continued)

Activity performance recognised as revenue in excess of invoices raised are contract receivables and are included within accrued income, up to the value of the relevant project delivery milestone, where applicable. On invoicing, the contract receivable is reclassified to trade receivables. Where amounts have been invoiced in excess of revenue recognised, the excess is a contract liability and is included within deferred income.

In relation to licencing contracts, billing occurs at the beginning of the contractual licence period or incrementally over the course of the licence, in line with the contractual terms. For implementation services, billing typically occurs a month in arrears in line with a contractually agreed schedule.

Revenue is wholly attributable to the principal activities of the Company. For all revenue types, payment is typically due between 30 and 60 days after the invoice date or receipt of invoice, depending on the client and geography.

1.13 Expenses

Operating lease payments

In the current year IFRS 16 has been adopted on a modified retrospective basis by the Company. Refer to the 'new accounting standards and interpretations' section below for the accounting treatment of leases in the year ended 31 March 2020.

Interest receivable and interest payable

Interest payable and similar expenses include interest payable, finance expense on shares classified as liabilities, unwinding of the discount on provisions, and net foreign exchange losses that are recognised in the profit and loss account (see foreign currency accounting policy). Borrowing costs that are directly attributable to the acquisition, construction or production of an asset that takes a substantial time to be prepared for use, are capitalised as part of the cost of that asset. In the comparative period ended 31 March 2019, interest arising from finance leases was recognised in profit or loss using the effective interest method. In the current year the Company adopted IFRS 16 on a modified retrospective basis. Refer to the 'new accounting standards and interpretations' section below for the accounting treatment of leases in the year ended 31 March 2020. Other interest receivable and similar income include interest receivable on funds invested and net foreign exchange gains.

Interest income and interest payable is recognised in profit or loss as it accrues, using the effective interest method. Dividend income is recognised in the profit and loss account on the date the entity's right to receive payments is established. Foreign currency gains and losses are reported on a net basis.

1.14 Taxation

Tax on the profit or loss for the year comprises current tax. Tax is recognised in the profit and loss account except to the extent that it relates to items recognised directly in equity or other comprehensive income, in which case it is recognised directly in equity or other comprehensive income.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous years.

1.15 New accounting standards and interpretations

The International Accounting Standards Board (IASB) and IFRS Interpretations Committee (IFRIC) have issued the following standards and interpretations which are now effective:

- IFRS 16 Leases (IFRS 16); and
- IFRIC 23 Uncertainty over Income Tax Treatments (IFRIC 23)

The Directors reviewed the nature and effect that these new standards have had on the Company and do not believe that the impact is material. These standards have been adopted by the Company:

IFRS 16 – Leases (effective for periods commencing on or after 1 January 2019)

IFRS 16 Leases is effective for periods beginning on or after 1 January 2019 and is therefore applicable to the current period. This standard replaces accounting treatment for leases previously depicted in IAS 17. IFRS 16 introduced a single lessee accounting model whereby a lessee is required to recognise a right-of-use asset and a lease liability for all leases with a term of more than 12 months. The depreciation on the right-of-use asset will be accounted for separately from the interest expense incurred on the lease liability in the income statement.

Nature of leases within the Company

The Company leases office premises for use in operations. Leases are negotiated on an individual basis, and for a variety of terms over which rentals are fixed with break clauses and options to extend for a further period at the then prevailing market rate. Rental agreements to which IFRS 16 has been applied, spans anywhere from 18 months to 10 years. Contracts may contain both lease and non-lease components. Non-lease components are separately identifiable and excluded from the lease for the purpose of IFRS 16 implementation.

The lease agreements do not impose any covenants other than the security interests in the leased assets that are held by the lessor. Leased assets may not be used as security for borrowing purposes.

Alongside the rental leases associated with the office spaces, the company also hold leases associated with office equipment. These form the population of leases subject to review under IFRS 16.

Notes (continued)

1 Accounting policies (continued)

1.15 New accounting standards and interpretations (continued)

Adoption Methodology

The Company has adopted IFRS 16 on a modified retrospective approach. The Company recognised the cumulative effect of initially applying the new standard as an adjustment to the opening balance of retained earnings at 1 April 2019. Please see note 10 for further details on the impact of the adoption of this new standard.

On initial recognition of a new lease, the lease liability is recognised as the present value of future payments, discounted using the incremental borrowing rate (unless the interest implicit to the lease is available for use).

The Company has used the practical expedients permitted by IFRS 16 in relation to accounting for leases with a remaining lease term of less than 12 months as at 1 April 2019 as 'short-term leases', and those with a low value as 'low value leases'. Consequently, no lease liability or right-of-use asset was calculated thereon. These leases are expensed in the statement of profit and loss. The Company has also used the practical expedient permitted by IFRS 16 to apply a single discount rate to a portfolio of leases with reasonably similar characteristics.

Measurement of lease liabilities

On initial recognition of a new lease, the lease liability is recognised as the present value of future payments, discounted using the incremental borrowing rate (unless the interest implicit to the lease is available for use).

Lease payments to be made subsequent to optional termination options have been included within the lease liability measurement, where it is reasonably certain that such options will be exercised.

Lease payments are discounted using the interest rate implicit in the lease. If that rate cannot be easily determined, the incremental borrowing rate is applied, being the rate that the individual lessee would have to pay to borrow the funds necessary to obtain an asset of similar value to the right-of-use asset in a similar economic environment with similar terms, security and conditions.

The Company accounts for lease payments by allocating them to a finance cost element and against the lease liability. The finance cost is charged to profit or loss over the lease period.

When the Company revises its estimate of the term of any lease (because, for example, it re-assesses the probability of a lessee extension or termination option being exercised), it adjusts the carrying amount of the lease liability to reflect the payments to make over the revised term, which are discounted using a revised discount rate. In such cases, an equivalent adjustment is made to the carrying value of the right-of-use asset, with the revised carrying amount being amortised over the remaining (revised) lease term. If the carrying amount of the right-of-use asset is adjusted to zero, any further reduction is recognised in profit or loss.

In determining the incremental borrowing rate, the Company has:

- Adopted the rate implicit in the lease, where this rate can be readily determined, or used the Incremental Borrowing Rates ("IBR") as assessed for each lease.
- Made adjustments to the IBR for relevant factors such as lease term, lease value, country and asset specific considerations

The Company has no material exposure to variable lease payments that qualify for accounting treatment under IFRS 16.

Measurement of right-of-use assets

The right-of-use asset for lease agreements entered into after transition date is measured on initial recognition as the amount equal to the lease liability on initial measurement, less any lease incentives, plus any initial direct costs. Right-of-use assets are depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis.

Initial adoption of the standard has resulted in the recognition of no lease liability and right-of-use asset as at 1 April 2019. All leases at the opening balance sheet date fall under the practical expedients described above.

The weighted average incremental borrowing rate applied to the lease liabilities recognised during the current financial year was 4.75%.

IFRIC 23 – Uncertainty Over Income Tax Treatments (effective for periods commencing on or after 1 January 2019)

The IFRIC 23 'Uncertainty Over Income Tax Treatments' interpretation is effective for accounting periods beginning on or after 1 January 2019 and provides further clarification on how to apply the recognition and measurement requirements in IAS 12 'Income Taxes'.

IFRIC 23 has not had a material impact on the financial statements for the year ended 31 March 2020.

There are no accounting standards that are not yet effective that would be expected to have a material impact on the Company in the current or next reporting periods.

Notes (continued)

2 Turnover

	FY 20 £000	FY 19 £000
Rendering of services	1,442	-
Rechargeable expenses	-	-
	<u>1,442</u>	<u>-</u>
	FY 20 £000	FY 19 £000
<i>By activity</i>		
Provision and implementation of software and related services	<u>1,442</u>	<u>-</u>

3 Auditor's remuneration

	FY 20 £000	FY 19 £000
Audit of these financial statements	<u>8</u>	<u>-</u>

Amounts receivable by the Company's auditor and its associates in respect of services to the Company and its associates, other than the audit of the Company's financial statements, have not been disclosed as the information is required instead to be disclosed on a consolidated basis in the consolidated financial statements of the Company's parent, Alpha Financial Markets Consulting Plc.

4 Staff numbers and costs

The average number of persons employed by the Company (including Directors) during the year, analysed by category, was as follows:

	Number of employees	
	FY 20	FY 19
Administrative	1	-
Sales	8	-
	<u>9</u>	<u>-</u>

The aggregate payroll costs of these persons were as follows:

	FY 20 £000	FY 19 £000
Wages and salaries	160	-
Social security costs	101	-
Contributions to defined contribution plans	18	-
	<u>279</u>	<u>-</u>

At the year end, 352,697 share options over the equity in Alpha Financial Markets Consulting Plc, the parent company, remained outstanding to the Company's management and employees, and no share options vested in the year. The Company has incurred a charge to the profit & loss account in FY 20 of £92,652 (FY 19: nil) relating to these schemes.

5 Directors' remuneration

	FY 20 £000	FY 19 £000
Directors' remuneration	610	-
Company contributions to money purchase pension plan	-	-
	<u>-</u>	<u>-</u>
	Number of Directors	
	FY 20	FY 19
Retirement benefits are accruing to the following number of Directors under:		
Money purchase schemes	<u>3</u>	<u>-</u>

Notes (continued)

5 Directors' remuneration (continued)

The aggregate of remuneration and amounts receivable under Company long term incentive schemes of the highest paid director was £344,000 (FY 19: £nil)

Amounts paid or payable to the Company's Directors through the Company's parent undertakings have been excluded from the above disclosure and included within the disclosures of other Group companies, on the basis that their services are predominantly provided to the wider Group.

6 Other interest payable and similar expense

	FY 20 £000	FY 19 £000
Interest payable	4	-
Total interest payable and similar expense	<u>4</u>	<u>-</u>

7 Taxation

Recognised in the profit and loss account

	FY 20 £000		FY 19 £000	
<i>Current tax</i>				
Current tax on income for the period	-	-	-	-
Adjustments in respect of prior periods	-	-	-	-
Total current tax	-	-	-	-
<i>Deferred tax</i>				
Origination and reversal of timing differences	-	-	-	-
Effect of tax rate change on opening balances	-	-	-	-
Adjustments in respect of prior periods	-	-	-	-
	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>

Reconciliation of effective tax rate

	FY 20 £000	FY 19 £000
Loss for the year	(1,169)	-
Total tax expense	<u>-</u>	<u>-</u>
Profit excluding taxation	(1,169)	-
Tax using the UK corporation tax rate of 19% (FY 19: 19%)	(222)	-
Losses surrendered for group relief	222	-
Deferred tax not recognised	-	-
Tax rate differences	-	-
Total tax expense	<u>-</u>	<u>-</u>

The UK corporation tax rate legislation announced is set to hold the corporation tax rate at 19% for the 2019/20 and 2020/21 tax years.

Notes (continued)

8 Tangible fixed assets

	Computer equipment £000	Total £000
Cost		
Balance at 1 April 2019	-	-
Acquisitions	39	39
Disposals	-	-
	<u>39</u>	<u>39</u>
Depreciation and impairment		
Balance at 1 April 2019	-	-
Depreciation charge for the year	(8)	(8)
Disposals	-	-
	<u>(8)</u>	<u>(8)</u>
Net book value		
At 31 March 2020	<u>31</u>	<u>31</u>

9 Intangible assets

	Capitalised development costs
Cost	
At the start of the year	-
Additions	1,391
At the end of the year - total	<u>1,391</u>
Amortisation	
At the start of the year	-
Charge for the year	(283)
At the end of the year - total	<u>(283)</u>
Net book value	<u>1,108</u>

Capitalised development costs

Capitalised development costs represent the costs incurred in the development enhancements to the 360 SalesVista software product within Alpha Data Solutions.

A useful economic life of 3 years has been deemed appropriate based on expected project lifecycle in development of new software.

The amortisation charge is recognised in administrative expenses within the statement of comprehensive income. There is an average of 2.6 years remaining to be amortised for the capitalised development costs in relation to the development of new software.

Notes (continued)

10 Leases

As set out in note 1, the Company has adopted IFRS 16 Leases during the year using the Modified Retrospective approach. This new accounting standard replaces accounting treatment for leases previously depicted in IAS 17. IFRS 16 introduced a single lessee accounting model whereby a lessee is required to recognise a right-of-use asset and a lease liability for all leases with a term of more than 12 months.

(i) Amounts recognised in the statement of financial position

The balance sheet shows the following amounts relating to leases:

Right-of-use assets	Buildings £000	Total £000
<i>Cost</i>		
At 1 April 2019	-	-
Additions	211	211
Disposals and other movements	-	-
At 31 March 2020	211	211
<i>Depreciation</i>		
At 1 April 2019	-	-
Charge for the period	(117)	(117)
Disposals	-	-
At 31 March 2020	(117)	(117)
Net book value at 31 March 2020	94	94

A summary of the Company's lease liabilities as at 31 March 2020 is presented below:

	FY 20 £000	FY 19 £000
Lease liabilities		
Current	95	-
Non-current	-	-
	95	-

(ii) Amounts recognised in the income statement

The income statement shows the following amounts relating to leases:

	FY 20 £000	FY 19 £000
Depreciation charge of right-of-use assets		
Buildings	117	-
	117	-
Interest expense	5	-
Expense relating to short-term leases (included in administrative expenses)	6	-

The Company has no variable service charge costs associated with the Group's property leases.

The Group has no income associated with sub-leasing arrangements, or gains/losses associated with sale-and-leaseback transactions in the current year.

Notes (continued)

10 Leases (continued)

Detailed accounting policies related to the implementation of IFRS 16 are set out in note 1.

In order to aid comparability between periods, the table below shows the income statement captions to 31 March 2020 as if IFRS 16 had not been adopted:

	FY 20 under IAS 17 £'000	IFRS 16 adjustments £'000	FY 20 under IFRS 16 £'000
Continuing operations			
Revenue	1,442	-	1,442
Rechargeable expenses	-	-	-
Net fee income	1,442	-	1,442
Cost of sales	(1,309)	-	(1,309)
Gross profit	133	-	133
Administrative expenses	(1,302)	4	(1,298)
Operating loss	(1,169)	4	(1,165)
Net finance expenses	1	(5)	(4)
Loss before tax	(1,168)	(1)	(1,169)

11 Debtors

	FY 20 £000	FY 19 £000
Trade debtors	652	-
Other debtors	479	-
Prepayments and accrued income	145	-
	1,276	-

Amounts owed by Group undertakings are interest free and are repayable on demand.

Expected credit loss recognised on the Company's trade debtors are immaterial in the current and prior year.

The Directors are satisfied that all outstanding amounts from subsidiary group undertakings are recoverable. Expected credit loss in relation to amounts owed by Group undertakings was immaterial in both the current and prior year.

Amounts capitalised within other debtors predominantly relate to non-distinct implementation costs incurred in advance of the commencement of the license period, for the fulfilment of the Company's revenue generating contracts. These costs are directly attributable to the fulfilment of these contracts and amount to £0.5m as at 31 March 2020. Capitalised implementation costs are amortised over an expected life, equivalent to the license period. As at 31 March 2020 there is an average amortisation period of 2.7 years remaining.

12 Creditors: amounts falling due within one year

	FY 20 £000	FY 19 £000
Trade creditors	317	-
Amounts owed to Group undertakings	2,556	-
Taxation and social security	63	-
Accruals and deferred income	1,438	-
	4,374	-

Amounts owed to Group undertakings are either interest-bearing or non interest-bearing depending on the type of the creditor relationship and are repayable on demand.

Deferred income recognises contract liabilities arising from the Company's revenue generating activities relating to payments received in advance of performance delivered under a contract. These contract liabilities typically arise on revenue contracts billed in advance, where the performance obligation is satisfied over time. The contract liability movement in the year represents these timing differences across contracts at each year end. The following table sets out the revenue recognised in the current year that relates to carry forward contract liabilities and the liabilities recognised in the current year which have been deferred to the next reporting period.

Notes (continued)

12 Creditors: amounts falling due within one year (continued)

	FY 20	FY 19
	£000	£000
Contract liabilities relating to contracts with customers at start of period	-	-
Increase in contract liabilities for the period	1,150	-
Contract liabilities released	(90)	-
	<u>1,060</u>	<u>-</u>

Unperformed balances represents the revenue that the Company will earn from customers when the Company satisfies the remaining performance obligations in certain contracts. These mainly relate to multi-year contracts which range between 1 to 5 years in which software license and implementation revenue is recognised over the license period. The following table sets out the aggregate amount of the contracted transaction price allocated to performance obligations that are unsatisfied or partly satisfied at the year end date. Unperformed balances relating to contracts with an expected original life of less than one year are not disclosed. Similarly, the Company has adopted the practical expedient not to disclose amounts under longer term contracts in which the revenue is to be invoiced on agreed day rates. Revenue from unperformed performance obligations is expected to be recognised in the following timeframes.

	FY 20	FY 19
	£000	£000
To be undertaken and recognised within one year	1,818	-
To be undertaken and recognised between one and three years	2,273	-
To be undertaken and recognised after three years	67	-
	<u>4,158</u>	<u>-</u>

13 Non-current liabilities

	FY 20	FY 19
	£000	£000
Non-current liabilities	9	-
	<u>9</u>	<u>-</u>

14 Capital and reserves

Share capital

	FY 20	FY 19
	£	£
<i>Allotted, called up and fully paid</i>		
1 ordinary share of £1 each	1	1
	<u>1</u>	<u>1</u>
Shares classified in shareholders' funds	1	1
	<u>1</u>	<u>1</u>

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

15 Related parties

Identity of related parties with which the Company has transacted

The Company has not engaged in any transactions with any related parties other than with wholly owned subsidiaries. These transactions have not been disclosed as the Company has taken advantage of exemptions under FRS101.

Notes (continued)

16 Events after the reporting period

The Directors consider that the outbreak of COVID-19 globally represents an adjusting event at the balance sheet date on the basis that the significance of the social and economic impact was apparent at that date. The Company has therefore considered all conditions up to the date of issuance of the financial statements as adjusting events. As disclosed in note 1, the impact of COVID-19 has been assessed in relation to: impairment of non-financial assets, going concern (note 1), and expected credit loss.

17 Ultimate parent company and parent company of larger Group

The Company is a subsidiary undertaking of Alpha Financial Markets Consulting Plc, incorporated in England and Wales. The ultimate controlling party is Alpha Financial Markets Consulting Plc.

Both the largest and smallest Group in which the results of the Company are consolidated is that headed by Alpha Financial Markets Consulting Plc, incorporated in England and Wales. The consolidated financial statements of the Group are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB, or the website investors.alphafmc.com.